had gotten rich and there was large consumption demand, these East Asian countries built a large export base and generated very good growth to benefit their countries and people.

Unfortunately, India went in the reverse direction, literally shunning imports and foreign investments. From the 1960s, we did try to promote exports but it was a feeble and fearful export strategy. Some preferences and relaxations were made in importing raw material for the purpose of exporting goods. These reluctant import permissions were completely undone by the lack of technology imports and onerous procedural requirements to use imported materials, claim duty refunds and obtain permits and foreign exchange. The consequences were predictable.

According to World Bank data, exports of goods and services from South Africa rose from 2 per cent in 1960 to about 30 per cent in 1980. Export of goods and services from Indonesia increased from 11 per cent of GDP in 1960 to 31 per cent in 1980. Goods and services exports of East Asia and the Pacific as a group rose from 5 per cent of GDP in 1960 to 20 per cent in 1980. Meanwhile, India's exports stagnated from 5 per cent of GDP in 1960 to only about 6 per cent in 1980. The export of goods bottomed at 3 per cent of GDP in 1983–84 (Rs 9866 crore; 3 per cent of GDP, according to *Economic Survey* 1984–85).

India paid a heavy price for the policies followed from the 1950s to the 1980s. We lost out on exports and a valuable source of paying for import of capital and consumption goods. This loss, coupled with the policy of discouraging foreign investment, led to enormous deficiency of foreign exchange to pay for even the most essential imports. Consequently, India was always running a large trade deficit and became dependent on foreign aid from bilateral and multilateral sources. This effectively mortgaged our policy choices to other powerful nations. The country was impelled to make a hefty devaluation in 1966 and suffered the ignominy of going with a begging bowl to Aid India Consortium and other foreign donors to stay